

Apple Inc. (AAPL.US)

Technology · Consumer Electronics

Large Cap (>\$200B) · Report Date: June 28, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-06-28

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$261.88 · -7.7% upside

Price \$283.78

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$261.88 (-7.7% vs \$283.78); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

| Pillar       | Rating / Signal | Key Metric                   | Wt  |
|--------------|-----------------|------------------------------|-----|
| Valuation    | UNDERWEIGHT     | Blended PT \$261.88          | 45% |
| FSA          | Weak            | Health -0.30                 | 20% |
| Technical    | BULLISH         | Bullish                      | 20% |
| Quantitative | POSITIVE        | Score +0.55 · 12m +42%       | 15% |
| Composite    | HOLD            | Score -0.05 · 50% confluence | —   |

Valuation rich but trend improving — wait for confirmation.

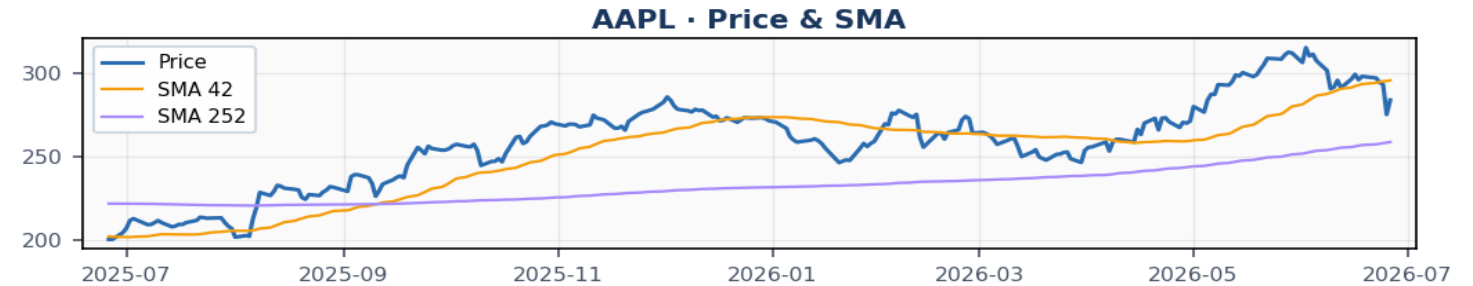
INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **UNDERWEIGHT** rating; blended target \$261.88. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value               | Item         | Value    |
|---------------|---------------------|--------------|----------|
| Market Cap    | \$4.17T             | Shares Out.  | 14687.4M |
| 52-Week Range | \$199.26 – \$317.40 | P/E (TTM)    | 34.4x    |
| P/B           | 39.1x               | Beta         | 1.09     |
| Avg Volume    | 52.38M              | Analyst Rec. | Buy      |
| Revenue (TTM) | \$451.44B           | Rev Growth   | +16.6%   |
| Op. Margin    | 32.3%               | FCF (TTM)    | \$98.77B |
| Gross Margin  | 47.9%               | ROE          | 1.4%     |
| EV/EBITDA     | 26.2x               | Debt/Equity  | 79.5%    |

PRICE TREND · SMA 42 / 252 (252D)



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

| Metric                | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|-----------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)         | 391,035  | 416,161  | 485,244  | 545,268  | 596,573  |
| Revenue Growth (%)    | N/A      | 6.4%     | 16.6%    | 12.4%    | 9.4%     |
| Net Income (\$M)      | 93,736   | 112,010  | 130,604  | 146,759  | 160,568  |
| Net Income Growth (%) | N/A      | 19.5%    | 16.6%    | 12.4%    | 9.4%     |
| Gross Margin (%)      | 46.2%    | 46.9%    | 47.9%    | 47.9%    | 47.9%    |
| Net Margin (%)        | 24.0%    | 26.9%    | 26.9%    | 26.9%    | 26.9%    |

|                         |        |        |        |        |        |
|-------------------------|--------|--------|--------|--------|--------|
| ROE (%)                 | 164.6% | 151.9% | 177.1% | 180.5% | 188.1% |
| EPS (\$)                | 6.38   | 7.63   | 8.89   | 9.99   | 10.93  |
| Book Value / Share (\$) | 3.88   | 5.02   | 5.02   | 5.53   | 5.81   |
| P/E (x)                 | 44.47  | 37.21  | 31.91  | 28.40  | 25.96  |
| P/B (x)                 | 73.19  | 56.53  | 56.53  | 51.27  | 48.83  |
| Dividend Yield (%)      | 38.0%  | 38.0%  | 38.0%  | 38.0%  | 38.0%  |

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FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Weak (score -0.30). Strengths: FCF supports reported earnings. Risks: Operating margin deteriorating; Current ratio 0.89x — liquidity pressure; Weak ROE 1.4%. 3Y projection: −9.2% revenue growth; Y3 revenue \$587.96B.

| Metric                     | Value                 | Assessment       |
|----------------------------|-----------------------|------------------|
| FSA Health Score           | -0.30                 | Weak             |
| Revenue CAGR (3Y)          | 1.8%                  |                  |
| Net Income CAGR (3Y)       | 3.9%                  |                  |
| Gross Margin Trend         | Deteriorating         |                  |
| Operating Margin Trend     | Deteriorating         |                  |
| Current Ratio              | 0.89x                 | Liquidity        |
| Debt / Equity              | 80%                   | Leverage         |
| ROE                        | 1.4%                  | Profitability    |
| FCF / Net Income           | 0.88x                 | Earnings quality |
| Proj. Revenue (Y1 / Y3)    | \$493.00B / \$587.96B | @9.2%            |
| Proj. Net Income (Y1 / Y3) | \$125.70B / \$149.91B | Margin × (1−tax) |

TECHNICAL & QUANTITATIVE ANALYSIS

| Metric             | Value    | Notes                                                              | Metric               | Value  | Notes      |
|--------------------|----------|--------------------------------------------------------------------|----------------------|--------|------------|
| SMA (42d)          | \$295.58 | Short-term trend                                                   | 12m Momentum         | +41.7% |            |
| SMA (252d)         | \$258.61 | Long-term trend                                                    | 3m Momentum          | +14.2% |            |
| RSI (14d)          | 33.5     | Momentum oscillator                                                | Ann. Volatility      | 27.7%  |            |
| Trend              | Bullish  |                                                                    | Sharpe Ratio         | 0.46   | Rf=4%      |
| Golden Cross (20d) | No       |                                                                    | Max Drawdown         | -33.4% |            |
| Death Cross (20d)  | No       |                                                                    | Rel. Strength vs SPY | +33.5% |            |
| TA Signal          | BULLISH  | Price above SMA42; SMA42 > SMA252; SMA42=\$295.58, SMA252=\$258.61 | Quant Score          | +0.55  | POSITIVE   |
|                    |          |                                                                    | SMA Backtest (ann.)  | 2.2%   | B&H; 19.7% |

INDUSTRY CONTEXT

**Industry Snapshot** — Technology / Consumer Electronics. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple...  
**Trends:** Strong top-line growth (16.6% YoY); High operating leverage (32.3% margin); Sector: Technology | Industry: Consumer Electronics  
**Risks:** Standard sector cyclicality and macro exposure

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VALUATION CROSS-CHECK

| Valuation Method                                       | Implied Price | vs. Current | Weight in Target | Notes                                                       |
|--------------------------------------------------------|---------------|-------------|------------------|-------------------------------------------------------------|
| DCF (Simon FCFE)                                       | \$111.93      | -60.6%      | 0% (excluded)    | Diverges below other methods (40% of median)                |
| Profile template weights                               | —             | —           | —                | Standard operating company: DCF 32%, Comps 53%, Analyst 15% |
| Comps — P/E (peer median, trailing EPS)                | \$198.00      | -30.2%      | —                | Peer median P/E 24.0x                                       |
| Comps — P/E (peer median, forward EPS)                 | \$230.34      | -18.8%      | —                | Forward EPS × peer median P/E                               |
| Comps — 52-week range anchor                           | \$266.81      | -6.0%       | —                | Tri-mean of 52w high, low, and current (large cap)          |
| Comps — EV/EBITDA (peer median)                        | \$168.84      | -40.5%      | —                | Peer median 17.6x                                           |
| Comps — P/S (peer median)                              | \$163.39      | -42.4%      | —                | Peer median P/S 5.3x                                        |
| Comps — Blended (median of multiples + uplift anchors) | \$248.58      | -12.4%      | 80%              | Included in blend                                           |
| Analyst consensus (Yahoo Finance)                      | \$315.09      | +11.0%      | 20%              | Included in blend                                           |
| Blended target (weighted)                              | \$261.88      | -7.7%       | 100%             | Comps 80% + Analyst 20%                                     |
| Audit (≥30% vs price)                                  | —             | —           | —                | Triggered ( lupside  ≥ 30%)                                 |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value     |
|---------------------|-----------|
| Ke (cost of equity) | 9.97%     |
| Terminal g          | 1.50%     |
| FCFE growth         | 8.30%     |
| Base FCFE           | \$98.77B  |
| PV explicit (5Y)    | \$494.71B |
| PV terminal         | \$1.15T   |
| Equity value (adj.) | \$1.64T   |
| Implied price       | \$111.93  |
| vs. current         | -60.6%    |

INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and...

Key Trends

- Strong top-line growth (16.6% YoY)
- High operating leverage (32.3% margin)
- Sector: Technology | Industry: Consumer Electronics

Risk Factors

- Standard sector cyclicity and macro exposure

PEER COMPARISON

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| MSFT   | Microsoft Corporation  | \$2.77T    | 22.2x | 15.3x     | 39.3%      | +18.3%     |
| GOOGL  | Alphabet Inc.          | \$4.12T    | 25.7x | 25.1x     | 37.9%      | +21.8%     |
| HPQ    | HP Inc.                | \$20.92B   | 8.5x  | 6.0x      | 4.4%       | +9.0%      |
| DELL   | Dell Technologies Inc. | \$258.13B  | 31.9x | 19.9x     | 6.3%       | +87.5%     |
| AAPL*  | Apple Inc.             | \$4.17T    | 34.4x | 26.2x     | 27.2%      | +16.6%     |

\* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.